

ments and be more open in trade negotiations.

“India must tackle domestic reforms—simplifying tariffs, hassle-free and just implementation of quality control orders, improving GST processes, and streamlining trade procedures. These changes are critical if India wants to make the most of global shifts, though progress may be slow,” says Srivastava of GTRI. He also advocates that India should build product value chains with China in sectors like chemicals, machinery, and electronics, fast track FTAs with countries like the EU and the UK. “India should reconsider negotiating a comprehensive free trade agreement with the United States,” he says.

Manufacturing is yet to take off even 10 years after the government launched its flagship Make in India programme, with gross value added by the sector at just about 18% of GDP, far below the target of 25%. Reviving private investments has proved amongst the most significant challenges for the government. India Inc’s capex plans are subdued in most sectors.

“The question remains whether India can fill the gap left by competing countries that have higher tariffs in the short term. Do we have the wherewithal for this and the requirements to meet such huge orders?” Dasgupta wonders. A case in point is ready-made garments. While India is a huge exporter, it does not have the infrastructure to service the large orders that countries like China, Bangladesh and Vietnam have.

Mithileshwar Thakur, Secretary General, Apparel Export Promotion Council, agrees and notes that while the lower reciprocal tariffs on India give the apparel

INDIA'S PUSH

1 Till now India has signed 14 FTAs and six preferential trade agreements

2 It is in talks with over 10 countries for FTAs – EU, UK, New Zealand, Eurasian Economic Union, Oman, Peru, and Sri Lanka

3 Likely culmination of FTAs with EU, New Zealand this year, apart from the US

WHAT NEXT

1 India needs to diversify its export market and basket

2 Strengthen domestic manufacturing to meet potential shortages, improve competitiveness

3 Further reforms for ease of doing business, deregulation

4 Step up diplomatic negotiations to complete FTAs, mitigate impact of a tariff war

sector an advantage, scale is a challenge in readymade garments. Further, lower tariffs in countries like Turkey and Brazil, which are large apparel exporters, give them an edge, he points out.

A World Bank report released last year had noted that despite rapid overall economic growth, India’s trade in goods and services over the past decades has decreased as a share of GDP and the country’s participation in global value chains has waned.

The report had also recommended that India pursue measures like reducing trade costs further, lowering trade barriers, and revisiting FTAs and regional integration as part of its strategy to achieve the \$1 trillion merchandise export target.

The government is aware of these concerns and has been working on several reform measures, including the highly anticipated proposal for deregulation and, as the Economic Survey pointed out, for the government to simply get out of the way of doing business. Efforts are under way to cut down red tape and compliances for small businesses and usher in the second generation of reforms by nudging states to work on provisions around land and labour regulations.

Regulatory technology solutions firm TeamLease Regtech notes that India’s business ecosystem is governed by 1,536 acts and rules, 69,233 compliances, and 6,618 filings.

Dasgupta agrees that more measures are needed to foster investments, including a stable policy environment where FDI will flow in easily. “A single-window clearance has been spoken about several times, but it is far from